
PesaLink 2.0

Features, Capabilities and Use Cases

Date: 26th January, 2021

Classification: Restrict

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PesaLink 2.0 Description		 INTEGRATED PAYMENT SERVICES LIMITED	
Project Initiator	Integrated Payment Services Limited		
Product /Service	PesaLink Switch Upgrade		
Document Status	Solution Development	☒	Solution Enhancement ☒
Introduction	Overview PESALINK is an instant, account number based, online real – time electronic fund transfer (EFT) platform where delivery of transaction messages from the Sending Institution to the Receiving Institution takes place within seconds. It enables financial institutions to provide instant funds transfer services and bill payments to their customers based on bank account numbers through all available electronic channels. The platform leverages on the secure virtual private network (VPN) connections between financial institutions and the Integrated Payment Services Limited to deliver a seamless financial service to the industry. PesaLink 2.0 with new features and capabilities will enhance various initiatives embarked upon by banks for digital transformation, improved efficiency and higher productivity while positioning banks for a real-time economy. The market perception of any institution, service oriented or otherwise, is hinged almost exclusively on the quality of its products/services and value proposition customer support infrastructure, which in the long run results in solutions fulfilment, stickiness and customer loyalty.		
Features and Capabilities	1. Account validation (Hakikisha) before financial transaction (this will greatly reduce failed transactions due to incorrect or invalid account numbers) 2. End-to-End security/encryption at both network and application layers 3. Purely based on ISO 20022 XML that allows flexible implementation by banks and it requires no integration to 3rd party systems within the bank 4. Open loop system that will create inter-operability for Banks, authorized non-bank players like Aggregators, FinTechs, SACCOs and Telcos 5. Extensible APIs to 3rd parties based on process definition by the bank 6. Support for all Person to Government Payments with seamless integration and direct notification to relevant government agency. This is possible with a unique end to-end transaction identifier 7. Support for banks Omni-Channel strategy		

	8. Enriched data which is also in line with the Central Bank Enterprise Data Warehouse Project 9. Liquidity/collateral management for banks offering settlement obligations for non-bank players providing new revenue streams for banks 10. Capability to identify channel(s) used to originate transactions. This gives better insight on PesaLink performance monitoring across bank channels 10. Interoperable payment platform with capability to bring Banks, Telcos and SACCOs on a unified instant payment rail
Value Proposition for partner institutions	1. Reduction in Total Cost of Ownership/Technology Acquisition 2. Profitability (Customer retention and competitor capability) 3. Operational Efficiency 4. Digital Transformation 5. Better ROI by using a shared service infrastructure 6. Benefits realization from Straight Through Processing (PesaLink) when compared to delayed/Batch Processing (EFT/RTGS) 7. Support for a Real-Time Economy being proposed by the CBK 8. Position banks ahead of CBK mid-term strategy to move financial transactions to ISO 20022 based 9. Support for Corporate Payments and Merchant Payments with R2P and R2P with mandates 10. Position PesaLink for National Switch consideration
Use Cases	a) Person –To-Person Payments ➤ Allows interbank transfer for account to account across banks ➤ Allows account2wallet and wallet2account transfers ➤ Capability for Send2Account and Send2Mobile Phone (Alias for an account) b) Person –To-Government Payments ➤ With the capability of PesaLink 2.0 to have end-to-end transaction id throughout the transaction life cycle, notification, settlement and reconciliation activities will become easier for P2G payments ➤ Such payments can be payment for levies and taxes c) Person-To-Business Payments ➤ Request2Pay and Request2Pay with Mandate (new functionalities/capabilities of PesaLink 2.0)

	➤ Request2Pay is a pull payment type which allows a seller/merchant who expects to receive payment for service delivered or delivery of goods from a customer who receives the service/goods. Based on internal policy of the bank on customer consent and agreed operational procedure, a bank may or may not require customer to consent during transaction. However, authorization mandate may be required based on risk evaluation of the bank to such procedure. ➤ Request2Pay can also be triggered for payment of government levies at designated intervals. This can be triggered by relevant government agencies connected to the PesaLink Switch ➤ Request2Pay with Mandate (Direct Debit) requires the customer of a bank to have pre-authorized a debit instruction using a mandate set-up on the customer's account. This can be a variable mandate or fixed mandate. This can be mostly used for salary processing, monthly recurring bill payments, wallet funding, account funding, e.t.c d) Business –To-Person Payments ➤ B2P payments includes salary payments, payment of contractors, payment of premiums, e.t.c. ➤ Request2Pay with Mandate (Direct Debit) can be set-up to facilitate monthly bulk payment. This can leverage on the proposed PesaLink Bulk Solution for corporates e) Bulk Payments ➤ Allows bank to develop white label solution for corporate bulk payments ➤ Allow banks to upload bulk payment that can be scheduled as single credit transfer message f) Government –To-Person Payments ➤ This can be achieved using Request2Pay with Mandate (Direct Debit) to debit a designated account of a government agency and initiate multiple credit transfer messages to different beneficiaries e.g. payment of government salaries or disbursement of bursaries. This can be done using bank enabled channels through PesaLink or using the proposed PesaLink Bulk Solution for corporates
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	➤ Where Request2Pay (Without Mandate) is used, banks are expected to ensure customers are given control to accept or reject the pull payment initialized by relevant government agencies. As a futuristic business process, number of rejected R2P for government initiated payments can be availed for possible sanction where required or as may be approved by IPSL management. g) Investigative Messaging ➤ When there are technical glitches either within IPSL or at the bank, exchange of transaction messages can be terminated and when this happen at the detriment of the bank that is to credit the customer, it might lead to settlement exposure. Investigate message is part of the new procedure for PesaLink 2.0 that will ensure near zero settlement exposure for across banks connected to PesaLink. The procedure is defined in the standard operating procedure for PesaLink 2.0
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